



MARKET MONITOR

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Increased confidence in the global supply and demand situation contributed to lower market volatility and put some downward pressure on international prices of AMIS crops, which had been climbing for several months. Latest forecasts confirm expectations of a strong rebound in global soybean and rice production in 2020/21 while the early outlook for 2021/22 suggests an increase in wheat production. Although planting intentions of US farmers for maize and soybeans are lower than anticipated by the market, plantings for both crops would still be up compared to 2020. These factors, combined with a strengthening US dollar and slack economic activity in most countries, could curb the upward momentum of prices in the near term.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	▲	▼
Rice	▲	■
Soybeans	▼	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

Global challenges require collaboration, information sharing and openness

One year ago, the World Health Organization declared COVID-19 a global pandemic. With about 130 million infections to date, and a death toll that is fast approaching 3 million people, there is little cause for celebrations. While the health crisis will hopefully subside soon, the socio-economic consequences rippling through communities across the world will be felt for years to come. All this against the backdrop of an already grim outlook for almost a quarter of the world's population who live in places affected by humanitarian crises and conflicts.

It is evident that overcoming this exceptionally difficult period will require extraordinary measures, including genuine international collaboration and information sharing as well as openness in decision-making processes. The merits of these three ingredients has been clearly demonstrated in the development of a COVID-19 vaccine at record speed. By recognizing that we are all in this together, and that we can only advance united, scientists around the globe shared their data and findings for a common objective: win the fight against the coronavirus.

Coordinating actions in a wider spectrum of areas, such as the global fight against poverty, hunger and climate change, is unfortunately far less evident. As a consequence, the welfare of a growing number of people is likely to be jeopardized, casting doubts on the ability of the international community to achieve the UN Sustainable Development Goals by 2030.

The severity of the socio-economic fallout of the pandemic calls for urgent action, including ways to minimize any adverse impacts of COVID-19 on international food markets and global food security. What lessons from the past can help us better cope with the current situation? What experiences can be drawn from the last major meltdown of the world

economy, namely the period of 2007-2009 that is now known as the Great Recession, as well as the global food price crisis that followed?

Surging international food prices and growing uncertainties surrounding global food supplies ultimately led to the establishment of AMIS, which was launched by G20 Ministers of Agriculture with two very clear objectives: (i) enhance food market transparency by sharing and disseminating information as broadly and openly as possible; and (ii) promote dialogue among main market players in order to avoid misguided policy decisions that negatively impact on the functioning of markets.

AMIS will soon reach its ten-year anniversary, but its overall approach of sharing information and coordinating action is as timely as ever. While today's stakes are arguably much higher than those of ten years ago, AMIS does illustrate how a global crisis can be addressed successfully.

One lesson learned from the AMIS experience is that global problems must be resolved through collective efforts involving all actors concerned. To this end, the AMIS Secretariat is in regular contact with national focal points in AMIS participating countries, first to collect information, to share knowledge and to generate a common understanding of the situation at hand; second, and most importantly, to be able to rely on a strong network of trust that can quickly be activated in a crisis situation to jointly discuss possible solutions and agree on the best way forward.

While still a work in progress, collaboration, openness and information sharing continue to be at the heart of AMIS. The current crisis calls for even more vigorous efforts to work together for a common goal, and these efforts will only succeed if they are built on transparency and trust.

World supply-demand outlook

- **Wheat** 2020 production estimate remains a record, 1.8 percent higher than in 2019, largely driven by bumper crops in Australia and India coupled with a sharp rise in production in the Russian Federation.
- Utilization in 2020/21 lifted sharply, mostly reflecting higher feed use of wheat in China.
- Trade in 2020/21 (July/June) now pointing to a 2 percent expansion from 2019/20 following this month's upward revision on bigger purchases by China and Nigeria.
- Stocks (ending in 2021) still up sharply from the previous season although trimmed by 8 million tonnes this month on a lower-than-earlier anticipated buildup of inventories in China.

- **Maize*** 2020 production estimate scaled up mostly because of an upward adjustment to India's output.
- Utilization in 2020/21 still seen to grow by 1.9 percent, mostly supported by higher feed and industrial use, particularly in Asia and South America.
- Trade forecast for 2020/21 (July/June) cut slightly m/m but still pointing to a strong y/y expansion of 6.9 percent with China accounting for most of the rise.
- Stocks (ending in 2021) still seen falling below their opening levels although the forecast has been raised m/m primarily reflecting upward revisions in India and the US.

- **Rice** production in 2020 up slightly m/m, as somewhat improved crop prospects primarily for Thailand are partly offset by a downgrade to Indonesian output.
- Utilization in 2020/21 trimmed, but still seen rising to an all-time high, as ample supplies sustain continued growth in food intake, alongside a recovery in volumes destined to non-food uses.
- Trade in 2021 (January-December) little varied m/m, with greater anticipated exports by India, and to lesser extent by Pakistan and Thailand, underpinning most of the year's forecast trade expansion.
- Stocks (2020/21 carry-out) still seen on par with their opening levels, as a downgrade to inventories held by Bangladesh is compensated by upward revisions to inventories in Nepal, Thailand and Saudi Arabia.

- **Soybean** 2020/21 production still expected to rebound, by nearly 7 percent, despite this month's downward adjustment for Argentina that more than offset upward revisions for India and Brazil.
- Utilization in 2020/21 virtually unchanged m/m with an upward correction for India compensating for reduced forecasts elsewhere.
- Trade in 2020/21 (Oct/Sep) trimmed marginally on lower-than-earlier anticipated purchases by a few Asian countries.
- Stocks (2020/21 carry-out) to contract further following a downward revision for Argentina; global inventories are now seen dropping by more than one quarter to an eight-year low.

Wheat	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
	4 Mar	8 Apr		9 Mar		25 Mar	
Prod	760.6	774.0	774.3	763.9	776.8	762.0	774.2
	627.0	639.8	640.0	630.3	642.5	628.4	639.9
Supply	1,032.2	1,050.9	1,050.6	1,047.2	1,077.1	1,021.6	1,052.6
	783.3	788.9	788.6	773.8	791.1	769.3	787.6
Utiliz.	750.6	754.5	763.0	746.9	775.9	743.1	760.3
	623.9	623.6	622.1	620.9	630.9	615.1	624.3
Trade	184.3	186.6	188.0	191.4	195.6	184.1	189.7
	177.6	177.6	178.0	186.0	185.1	177.4	179.5
Stocks	276.3	292.0	284.0	300.3	301.2	278.4	292.3
	148.6	152.7	153.1	148.6	150.8	147.5	154.1

Maize	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
	4 Mar	8 Apr		9 Mar		25 Mar	
Prod	1,139.6	1,152.8	1,154.8	1,116.5	1,136.3	1,125.4	1,138.6
	878.8	892.1	894.1	855.8	875.6	864.7	877.9
Supply	1,463.0	1,454.5	1,457.0	1,437.7	1,439.4	1,451.5	1,435.1
	1,041.0	1,043.5	1,046.1	966.8	978.2	986.2	982.6
Utiliz.	1,157.6	1,179.8	1,179.4	1,134.6	1,151.8	1,155.0	1,166.9
	878.3	887.5	887.1	856.6	862.8	872.2	871.0
Trade	174.5	187.1	186.5	175.0	185.1	173.6	185.5
	169.1	167.1	166.5	167.4	161.1	164.3	160.6
Stocks	302.2	275.7	279.0	303.1	287.7	296.5	268.2
	151.9	137.1	140.4	102.6	91.5	104.7	86.6

Rice	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
	4 Mar	8 Apr		9 Mar		25 Mar	
Prod	503.0	513.2	513.6	497.7	504.4	498.8	503.8
	359.5	368.0	368.5	351.0	356.1	352.1	355.5
Supply	688.4	695.4	696.3	674.4	682.5	674.5	677.7
	439.4	446.9	447.8	412.7	417.7	418.7	419.5
Utiliz.	504.3	514.4	514.1	496.3	504.7	500.5	503.5
	358.5	366.5	366.2	351.1	355.7	354.1	355.0
Trade	45.4	48.2	48.2	44.9	46.1	44.0	45.7
	42.3	45.4	45.4	41.7	43.2	40.9	43.0
Stocks	182.7	182.5	182.7	178.1	177.8	174.0	174.2
	79.3	80.3	80.5	61.6	61.4	61.5	61.7

Soybeans	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
	4 Mar	8 Apr		9 Mar		25 Mar	
Prod	338.2	363.6	361.3	339.0	361.8	338.3	360.7
	320.1	344.0	341.7	320.9	342.2	320.2	341.1
Supply	401.4	418.1	415.9	452.7	457.9	402.6	412.7
	372.3	379.1	376.9	415.2	411.5	363.8	363.9
Utiliz.	360.1	375.1	375.3	356.8	371.3	350.6	367.2
	252.1	256.3	256.3	247.6	254.6	239.6	248.5
Trade	169.2	169.7	169.5	165.2	169.7	169.8	170.1
	70.7	69.0	68.8	66.6	66.9	68.3	67.7
Stocks	54.9	42.6	40.1	96.0	83.7	52.0	45.5
	35.5	22.0	19.7	69.2	54.1	22.7	12.9

in million tonnes

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/compare-sources>

Estimates and forecasts may differ across sources for many reasons, including different methodologies.

*The 2020/21 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2020 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2021 in their 2020/21 world production numbers.

For more information see Explanatory notes on the last page of this report.

Revisions (FAO-AMIS) to 2020/21 forecasts since the previous report

in thousand tonnes

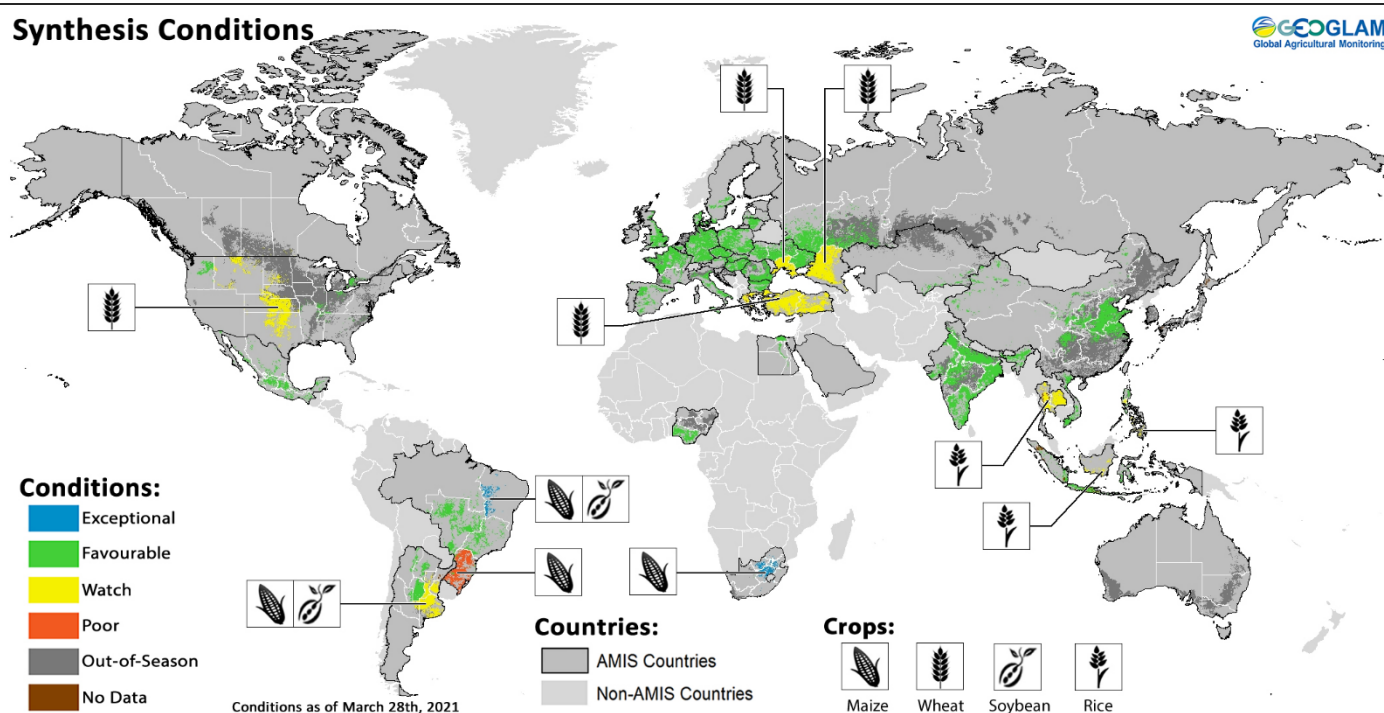
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	288	1379	8448	1448	-8039	2025	-530	-307	-545	3361
Total AMIS	-41	1700	8685	1500	-8115	2330	-500	274	-1000	3402
Argentina	-	-	-800	-500	800	-	-	-	-	-
Australia	-	-	54	-	22	-	-	-	-	-
Brazil	-	-100	-175	-	-590	-	500	-	-	-
Canada	-	-	-960	2,000	-540	-	-	100	-	-100
China Mainland	-	1,000	10,000	-	-8,500	-	-	-	-	-
Egypt	-	-	-	-	-	-	-	-	-	-
EU	33	-	249	-	-216	266	-	266	-	-
India	-	-	-	-	-	1660	-	600	-	1194
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-93	-	-93	-	-	-	-	-396	-	551
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	900	510	-	890	-	-	-200	-	300
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	23	-	-	-	23	404	-	404	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-100	-100	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-1000	-500	-	-500
Ukraine	-4	-	-	-	-4	-	-	-	-	-
UK	-	-	-	-	-	-	-	-	-	-
US	-	-	-	-	-	-	-	-	-1000	1957
Viet Nam	-	-	-	-	-	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	477	-64	-281	-65	237	-2364	-249	171	-260	-2452
Total AMIS	329	-110	-356	50	330	-1814	-49	441	-160	-2282
Argentina	-	-	-	-	-	-3500	250	-300	-520	-2500
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-	-	-	-	600	-	-100	350	100
Canada	-	-	-	-	-	-	-	-	100	-
China Mainland	-	-	-	-	-	-	0	200	-	-200
Egypt	-	-	-115	-	50	3	-200	-47	-50	-100
EU	-	-	3	-	-	-28	-	-128	-	100
India	-	-	-275	-	-100	1111	-	1087	-100	260
Indonesia	-327	-	-327	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-25	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	50	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-100	1	-	130	-	-50	-45	-	-5
South Africa	-	-10	-9	-	-40	-	-	25	-	-20
Thailand	655	-50	365	50	290	-	-	-	-	-
Turkey	-	-	-	-	-	-	100	-	-	100
Ukraine	-	-	-	-	-	-	-	23	-40	5
UK	-	-	-	-	-	-	-	-	-	-
US	-	-	-	-	-	-	30	-150	100	-
Viet Nam	-	-	-	-	-	-	-154	-124	-	-22

Crop monitor

Crop conditions in AMIS countries (as of 28 March)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 March. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, areas of concern for winter wheat remain those of last month as spring regrowth begins in the Russian Federation, Ukraine, Turkey, the US, and Canada.

Maize - In the southern hemisphere, harvesting is progressing in Brazil and Argentina for the spring-planted crops. Harvesting has begun in South Africa. In the northern hemisphere, conditions are favourable for India and Mexico.

Rice – Rabi rice in India is under favourable conditions. In Southeast Asia, wet-season rice in Indonesia and dry-season rice in the northern countries are under mixed conditions. Harvesting is continuing in Brazil.

Soybeans - In the southern hemisphere, conditions are favourable to exceptional in Brazil, while in Argentina conditions are mixed.

Weakening La Niña

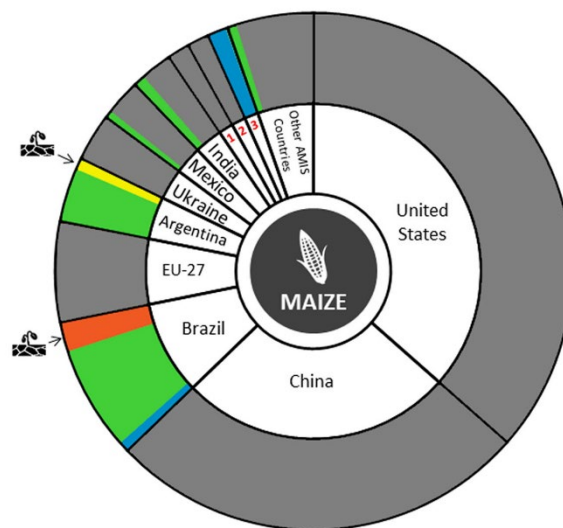
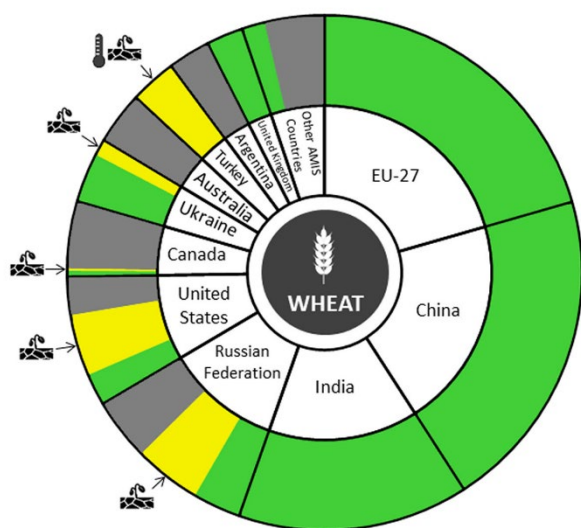
La Niña is currently present as of late March and is showing signs of weakening. There is a 62 percent chance of transitioning to El Niño-Southern Oscillation (ENSO) neutral conditions during April to June followed by a 52 percent chance of transitioning during July to September.

Long-range forecasts made during this time of year have a high level of uncertainty. However, IRI/CPC forecasts in March indicated about equal chances that another La Niña event might develop (48 percent chance) or ENSO neutral conditions will occur (42 percent chance) during September to December 2021.



Source: FAO-AMIS

*Data for the European Union from the year 2020 excludes the United Kingdom of Great Britain and Northern Ireland.

Conditions:**Drivers:**

Canada¹, Russian Federation², South Africa³

Wheat

In the **EU**, conditions are favourable for winter wheat across most of Europe as warm weather in early March led to a restart of growth and development after winter dormancy. In the **UK**, conditions are favourable as a break in rainfall has allowed a return to fieldwork. In **Ukraine**, conditions are generally favourable albeit with a slightly delayed start to regrowth due to recent cool weather. In the **Russian Federation**, recent rainfall has eased dry conditions for winter wheat, however, the Southern and North Caucasus regions are under watch due to remaining drier-than-average conditions. In **Turkey**, conditions remain under watch as rainfall deficits continue, potentially affecting crop growth and irrigation reservoir levels. In **China**, conditions are generally favourable for winter wheat as crop growth resumes in the north. Spring wheat sowing has begun under favourable conditions. In **India**, conditions are favourable as the crop moves towards the maturity stage. There is an increase in total sown area compared to last year and longer-term average. In the **US**, winter wheat remains under watch conditions due to continuing dryness throughout the Great Plains, however, total sown area is estimated to have increased compared to last year. In **Canada**, conditions are favourable in the main producing province of Ontario, while dry conditions remain in the Prairie provinces.

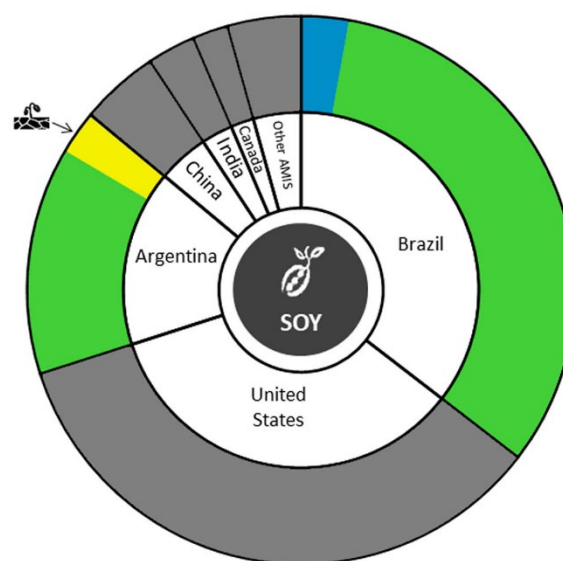
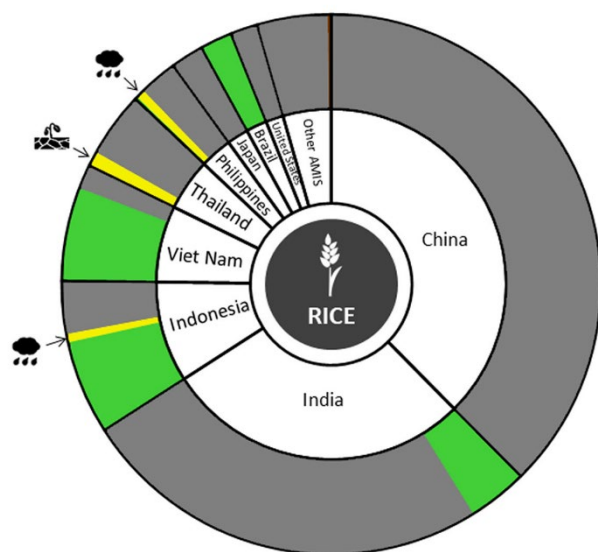
Maize

In **Brazil**, harvest is progressing for the spring-planted (smaller season) crop under poor conditions in the main producing South region due to a lack of rains during critical development stages. Conversely, conditions are favourable in the Central-West and the Southeast regions, while exceptional in the Northeast region. Sowing of the summer-planted (larger season) crop is wrapping up under favourable conditions with an estimated increase in total sown area compared to last year. In **Argentina**, harvest of the early-planted crop (usually larger season) has begun under generally favourable conditions with initial yields below last year's, but higher than expected. Recent rainfall has improved conditions for the late-planted crop (usually smaller season), however, some areas of concern remain. In **Mexico**, sowing of the autumn-winter crop (smaller season) is wrapping up under favourable conditions. In **India**, harvesting has begun for the Rabi crop under favourable conditions. In **South Africa**, conditions are exceptional across most of the country as harvest begins.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **India**, Rabi rice is under favourable conditions with a slight increase in total sown area compared to last year. In **Indonesia**, harvesting of wet-season rice is ongoing under generally favourable conditions with yields slightly lower compared to last year due to an overall drier season. Earlier flooding in South Kalimantan has resulted in damage to a large amount of planted area in the region. In **Viet Nam**, conditions are favourable for the winter-spring (dry-season) crop as harvesting continues in the Mekong River Delta. Sowing has begun for the summer-autumn (wet-season) crop in the Mekong River Delta under favourable conditions. In **Thailand**, harvesting is beginning for earlier sown dry-season rice under mixed conditions due to a lack of irrigation water during most of the season. Total sown area has increased to above last year's levels. In the **Philippines**, harvesting has begun for earlier sown dry-season rice. Conditions are currently mixed as some provinces in Visayas and Mindanao have experienced damage from recent storm systems. In **Brazil**, harvest is about halfway complete under favourable conditions.

Soybeans

In **Brazil**, harvesting is progressing under favourable conditions across most of the country and with exceptional conditions in the Northeast region. There is an increase in total sown area compared to last year. In **Argentina**, conditions remain mixed across both the early-planted crop (larger season) and the late-planted crop (smaller season) due to uneven rainfall. The early-planted crop is in the maturity stages while the late-planted crop is in the critical grain-filling stages and will require further rainfall to ensure favourable yields.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 8 April 2021

Policy developments

Wheat

- On 4 March, **Brazil** published Ordinance 47 to adjust the minimum price for wheat (grain and seed) by 11.04 percent across all grain types and producing regions for the period July 2021-June 2022.
- On 17 March, **Brazil's** Health Regulatory Agency (ANVISA) notified the WTO of the establishment of maximum residue limits (MRLs) for the pesticide mancozeb (G/SPS/N/BRA/1830/Add.1)
- On 9 March, **Canada** notified the WTO of the adoption of revised MRLs for *chlormequat* chloride (G/SPS/N/CAN/1352/Add.1) and *sulfentrazone* (CAN/1356/Add.1), which are used on wheat.

Maize

- On 17 March, **Brazil** notified the WTO of the adoption of MRLs for the pesticide *clothianidin*, which is used on maize. (G/SPS/N/BRA/1865/Add.1)
- On 15 March, the **US** Department of Agriculture (USDA) notified the WTO of the establishment of MRLs for the pesticide *fluindapyr* (G/SPS/N/USA/3233). On 17 March, the **US** also notified revised Standards for grades of frozen cobbled maize. (G/TBT/N/USA/1661/Add.1)

Soybeans

- In March, **Brazil** notified the WTO of proposed MRLs for *fluazinam* (G/SPS/N/BRA/1906; deadline for comments 12/3/2021); and the adoption of MRLs for *phosphine*, a pesticide used on soybeans (BRA/1862/Add.1).

Rice

- On 5 March, the **EU** announced the decrease of import duties for certain types of husked rice other than basmati rice (CN code 1006 20) from EUR 65 to EUR 30 (from USD 77.47 to 35.76) per tonne. The new duty was implemented as of 8 March.
- On 9 March, the **Spanish** Ministry of Agriculture announced the provision of agricultural aid of EUR 120.72 (USD 143.7) per tonne to rice growers for the crop year 2020/21.

Across the board

- On 15 March, **Argentina** notified the WTO of updated policies regarding the use of food additives in cereals and cereal and/or cereal-based products and their maximum concentration levels, in accordance with MERCOSUR Resolución GMC N° 08/20. (G/TBT/N/ARG/414)
- On 15 March, **Brazil's** Ministry of Agriculture Livestock and Food Supply issued Ordinance No. 52 that establishes the technical regulation for Organic Production Systems and the lists of substances and practices permitted in organic production.
- On 26 March, **Brazil's** ANVISA notified the WTO of proposed MRL changes for the pesticide lufenuron, which is used on maize and soy cultures (G/SPS/N/BRA/1921).
- On 10 March, the **Canadian** Food Inspection Agency (CFIA) implemented new import requirements for select feed ingredients, including wheat and soybeans imported from countries identified as posing a potential concern with respect to African Swine Fever (ASF). The identified products will require an import permit prior to importation from the specified countries and the conditions in the implementing order and the import permit will need to be met (G/SPS/N/CAN/1244/Add.11).
- On 30 March, **Brazil's** CONAB launched a nationwide survey of private stocks of key commodities to be conducted through its Private Inventory Research System (SIPEP). The survey for rice, coffee and wheat producers and industries will be conducted between 5 and 23 April in all regions and aims at capturing: (i) the volumes respectively available for commercialization from both registered and unregistered stocks, and (ii) relevant product characteristics (in shell or processed; in the case of rice and wheat, only cereal grain). The survey results, broken down by state, will be published and will facilitate the government's efforts to deal with food price inflation and manage inventories.
- On 5 March, **China's** State Economic Planning Agency announced a 1 percent year-on-year increase in the minimum support price of indica rice and wheat and an expansion in the planting area of maize and other staple crops. The measures are part of a broader strategy aimed at addressing domestic food security concerns and foresee a 100 million mu (6.6 million hectares) expansion in high-standard farmland.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

- On 18 March, **China's** Ministry of Agriculture and Rural Affairs launched a campaign to lower the content of maize and soymeal in animal feed. The document, sent to animal feed producers and other government departments, outlines options to replace maize and soymeal in feed by alternative grains.

- In March, the **EU** notified the WTO of proposed MRLs for the plant protection chemicals *flupyradifurone*, *difluoroacetic acid* (G/SPS/N/EU/472), 6-benzyladenine, *aminopyralid* and *chlorantraniliprole* (EU/470), which are used on several products including wheat, maize and rice. Proposed new MRLs for *cadmium*, which shall apply to wheat and rice, were also notified (EU/466; deadline for comments 14/05/21).

- On 31 March, **Russia's** Moscow Exchange (MOEX) announced that, from 1 April, three grain price indices denominated in USD per ton will be calculated and published on a daily basis for wheat (WHFOB), barley (BRFOB), and maize (CRFOB). The indices will be calculated based on prices of OTC grain contracts that are reported by grain exporters to the National Mercantile Exchange in accordance with a specific methodology. These indices will be used for the calculation and weekly updating of the export customs duty for wheat, barley, and maize from 1 June 2021.

- On 12 March, **South Africa** updated the WTO on the COVID-19 recovery packages implemented to assist financially distressed small-scale farmers, particularly those farmers who were in production and were preparing for winter crops (G/AG/GEN/180).

- On 15 March, the **UK** Department for Environment, Food and Rural Affairs notified the WTO of proposed MRLs for pesticides dimethoate and omethoate, which are used on wheat, maize and rice. (G/SPS/N/GBR/6; deadline for comments 14/05/21)

- On 1 March, the **US** Environmental Protection Agency notified the WTO of the establishment of MRLs for the pesticide *picarbutrazox*, which is used on maize and soybeans (G/SPS/N/USA/3235).

- On 11 March, the **US** 'America Rescue Plan' entered into force. A USD 4 billion domestic support package is intended to assist recovery of socially-disadvantaged farmers, households and enterprises from the economic implications from the COVID-19 pandemic and consists of: (1) direct loan payments to farmers of up to 120 percent of their outstanding indebtedness as of 1 January 2021; (2) grants and loans to improve access to land; (3) and additional allocation of USD 1.15 billion to the Supplemental Nutrition Program (SNAP) until 20 September 2023.

Trade Junctions and Logistics

- On 23 March, **Brazil's** Santos port reported increased congestion as late season soybean planting and harvest caused a peak in soybean exports in March (rather than January), coinciding with the shipment of bumper sugar stock. The substantial port congestion is expected to delay the docking of shipments for several weeks.

- On 23 March, **Egypt's** Suez Canal was blocked for 6 days by a 400-meter-long container ship, impeding two-way transit to at least 422 ships and oil product tankers, and causing severe disruptions to global shipping and supply chains. The Suez Canal facilitates around 15 percent of international shipping traffic annually. On 29 March, the Suez Canal Authority announced the resumption of transit. UNCTAD estimates that clearing the backlogs at ports will likely take several months.

- On 16 March, the Ministry of Railways in **India** harmonized the permissible carrying capacity for carrying rice from 59-64 tonnes to 52 tonnes per wagon for 1 year. Effective 12 March 2021, the per wagon billing for rice is based on this lower amount, implying that rice exporters will benefit from a reduction of up to 19 percent in freight rates.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Mar 2021 Average*	Change M/M	Y/Y
GOI	264	- 1.7 %	+ 40.3 %
Wheat	223	- 2.4 %	+ 19.5 %
Maize	267	- 1.5 %	+ 48.8 %
Rice	194	- 2.4 %	+ 9.2 %
Soybeans	268	- 1.8 %	+ 57.0 %

*Jan 2000=100, derived from daily export quotations

Wheat

Average world wheat export prices showed their first m/m decline since June 2020, mainly weighed by a generally positive outlook for the next global harvest as well as a softer tone in world maize and oilseeds markets. There were signs that wheat crops in the US, Europe and the Black Sea region had come through winter in mostly good condition. Tepid nearby export demand weighed on price sentiment, with ideas that some buyers were delaying purchases until more attractively-priced new season supplies are available. Shipments from Russia decelerated following the latest rise in export duties at the beginning of the month, while a stronger currency exacerbated concerns about lacklustre export demand in the US.

Maize

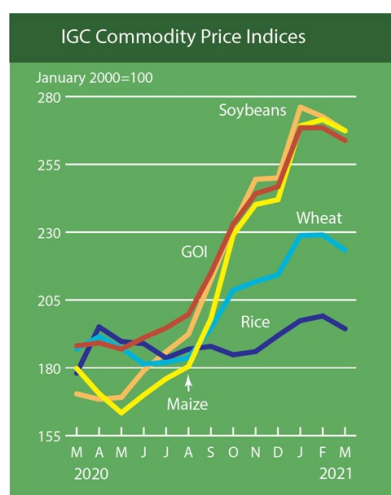
Average world maize export prices eased for the first time in 10 months in March. The modest decline was mainly tied to softer values in Argentina, where new crop supplies began to enter the export pipeline, with some traders also keen to generate fresh business against the backdrop of a surge in ocean freight costs. US quotations were little-changed overall, underpinned by a mid-month pickup in demand, which included a raft of large purchases by China. High origination costs and tighter availabilities supported Ukraine's maize market, with nearby supplies priced at a premium to US and Argentine origins.

Rice

Average international rice prices weakened m/m as supplies improved in key Asian exporters. Vietnamese offers declined as main (winter/spring) crop cutting peaked in the Mekong Delta, with some offsetting support from a sale to Bangladesh and anticipated demand from other regional buyers. Thai quotes weakened as off-season harvesting boosted supplies, while subdued demand continued to weigh on sentiment. In India, sales to key buyers underpinned quotes, including to Bangladesh. Some pressure came from improving availabilities amid slowing government paddy procurement, while loading delays at Kakinada Port reportedly continued to ease.

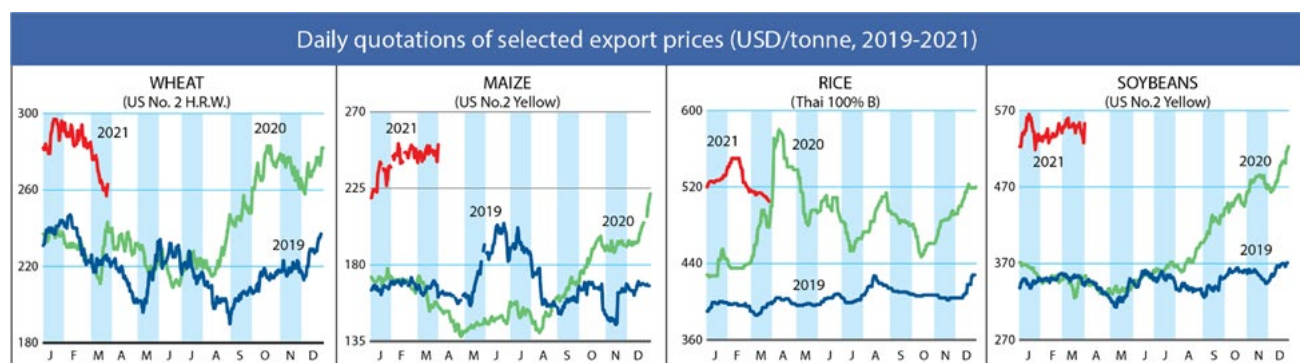
Soybeans

Average soybean values weakened during March, with changeable weather patterns in South American producers and movements in vegetable oil prices often key influences. After a record-breaking export campaign, buying interest for US supplies slowed as demand shifted to southern hemisphere origins. While sentiment was underpinned by tightening old crop availabilities, expectations for a sizeable expansion of US plantings in 2021/22 pressured at times. After a sluggish start, 2020/21 harvesting in Brazil picked up and, with vessel line-ups at key ports gradually clearing, export prices retreated. Also reflecting currency movements, declines in Up River offers in Argentina were relatively sharper m/m.



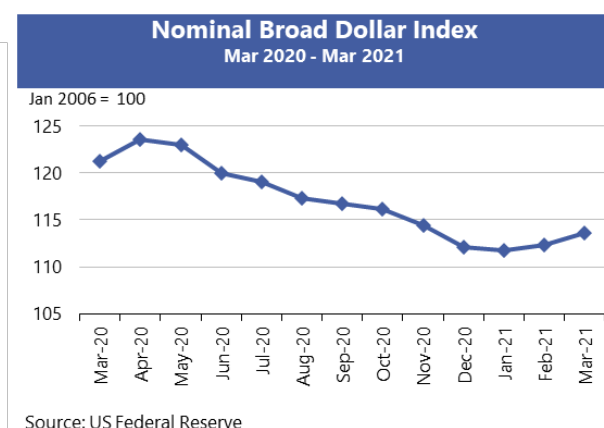
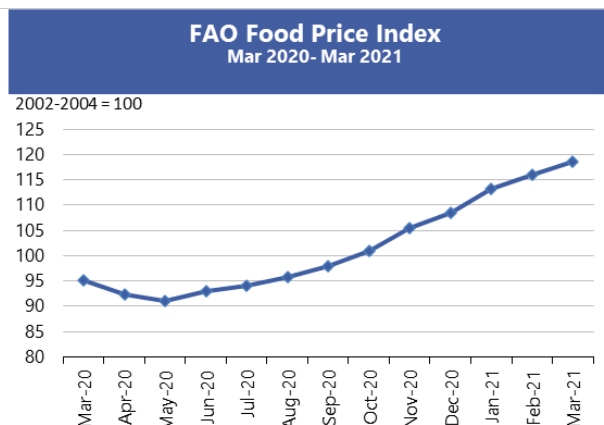
		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2020	March	188.1	186.9	179.8	178.0	170.4
	April	189.2	191.5	170.5	195.1	168.4
	May	186.9	187.3	163.4	189.7	169.1
	June	191.1	181.4	170.0	188.9	179.0
	July	194.7	182.0	176.0	183.6	185.9
	August	199.7	183.7	180.5	186.9	192.4
	September	215.0	194.5	198.1	187.9	212.3
	October	233.0	208.6	229.1	184.8	232.5
	November	244.2	211.8	240.2	186.0	249.5
	December	246.8	214.3	242.0	191.9	250.0
	2021 January	268.5	228.8	269.2	197.4	276.1
	February	268.5	229.0	271.5	199.1	272.6
	March	263.8	223.4	267.4	194.4	267.6

Selected export prices, currencies, and indices



Daily quotations of selected export prices						
	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	31-Mar	263	287	240	-8.4%	9.6%
Maize (US No. 2, Yellow)	31-Mar	251	249	155	0.7%	61.7%
Rice (Thai 100% B)	31-Mar	505	524	527	-3.6%	-4.2%
Soybeans (US No.2, Yellow)	31-Mar	553	546	354	1.3%	56.2%

AMIS Countries' Currencies Against US Dollar				
AMIS Countries	Currency	Mar 2021 Average	Monthly Change	Annual Change
Argentina	ARS	91.0	-2.6%	-30.7%
Australia	AUD	1.3	-0.6%	24.3%
Brazil	BRL	5.7	-4.3%	-13.4%
Canada	CAD	1.3	1.0%	10.9%
China	CNY	6.5	-0.8%	7.8%
Egypt	EGP	15.7	-0.3%	0.0%
EU	EUR	0.8	-1.6%	7.6%
India	INR	72.8	0.0%	2.4%
Indonesia	IDR	14,379.6	-2.5%	5.8%
Japan	JPY	108.7	-3.1%	-0.9%
Kazakhstan	KZT	420.7	-0.6%	-0.3%
Rep. Korea	KRW	1,130.1	-1.7%	7.7%
Mexico	MXN	20.8	-2.3%	7.5%
Nigeria	NGN	380.5	0.0%	-14.9%
Philippines	PHP	48.5	-0.6%	5.0%
Russian Fed.	RUB	74.4	-0.2%	0.1%
Saudi Arabia	SAR	3.8	0.0%	0.1%
South Africa	ZAR	15.0	-1.4%	11.4%
Thailand	THB	30.8	-2.5%	4.3%
Turkey	TRY	7.7	-7.7%	-17.4%
UK	GBP	0.7	0.0%	12.3%
Ukraine	UAH	27.8	0.3%	-4.3%
Viet Nam	VND	23,057.0	-0.2%	1.3%



Source: US Federal Reserve

Futures market (US)

Futures Prices – nearby in USD per tonne

	Mar-21 Average	Change	
		M/M	Y/Y
Wheat	234	-2.5%	18.8%
Maize	218	0.5%	53.6%
Rice	288	1.0%	-3.0%
Soybeans	520	2.4%	62.8%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Mar-21	Feb-21	Mar-20
Wheat	28.6%	30.0%	25.1%
Maize	26.3%	30.6%	21.8%
Rice	12.6%	14.3%	18.2%
Soybeans	19.0%	26.3%	15.2%

Future Prices

Following a six-month upward trend, futures prices for wheat, maize and soybeans appeared to lose momentum. Wheat values eased slightly m/m as a record crop was forecast for Australia and favorable weather returned to the US southern plains and the Black Sea region. Maize prices were mostly unchanged even as exports remained brisk. Soybean prices increased slightly as US stock levels continued to tighten and the Brazilian harvest lagged behind last year's levels. Rice futures were negligibly higher m/m. In exogenous markets, the US dollar index rose to .93 despite inflationary concerns over the US administration's ongoing plans for record fiscal stimulus. Crude oil prices briefly reached a two year high of USD 66 per barrel, as the US economy entered recovery. Despite this month's fairly muted markets, prices for wheat, maize and, soybeans were considerably higher y/y at 18.8, 53.6 and 62.8 percent respectively while rice was lower by 3.0 percent. At month-end, the highly anticipated USDA March planting intentions report, projected far fewer acres for maize and soybeans than trade estimates - sending both commodities upwards to trade at their maximum permissible price limits.

Volumes and volatility

Trade volumes fell for wheat, maize and soybeans m/m and y/y. Historical volatility was lower m/m but higher y/y for all three commodities. Implied volatility levels were somewhat mixed both m/m and y/y for the three commodities.

Basis levels and transport

Domestic basis levels in the US were firmer m/m, reflecting the tightening of domestic supplies. In Illinois, average quotes to local elevators were minus USD 2.0 per tonne for

maize, and minus USD 3.5 per tonne for soybeans, each under the respective May futures prices. In Iowa, maize and soybean bids were minus USD 6.5 and minus USD 12.0, respectively. Soft red wheat bids to flour mills, continued at a discount to May futures. Even as icy river conditions lessened, maize and soybean bids delivered gulf remained firm at USD 30 and USD 29 per tonne over respective futures m/m. Soft red wheat values were quoted at around USD 39 per tonne over the May futures. Barge freight on Illinois River eased to about USD 19 per tonne on improved navigational conditions. The USDA reported that exports for maize and soybeans were continuing at a blistering pace of 185 and 176 percent respectively above the last marketing year, while unshipped commitments were also comparatively large. Wheat exports and unshipped totals approximated last year's totals.

Forward curves

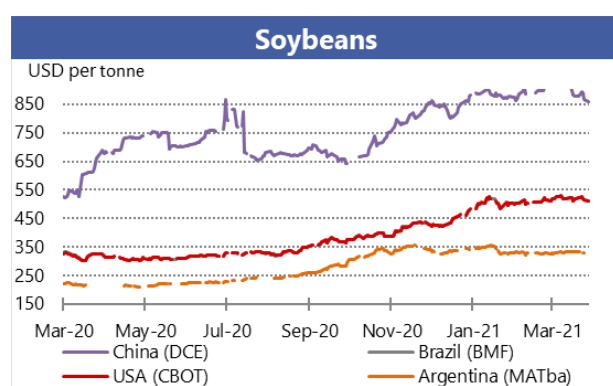
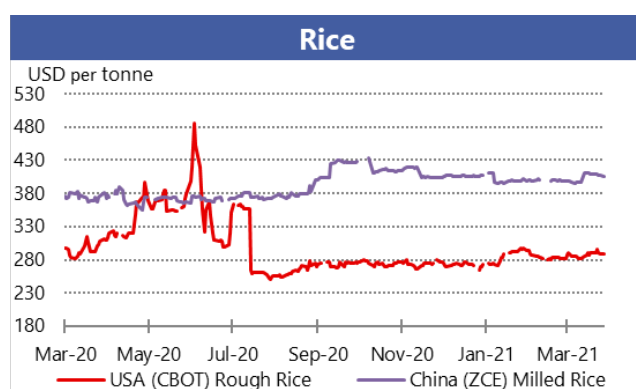
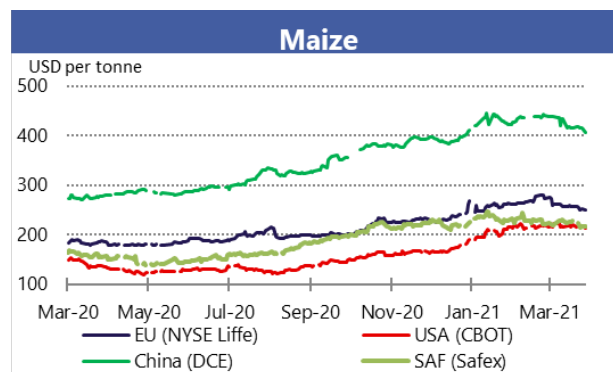
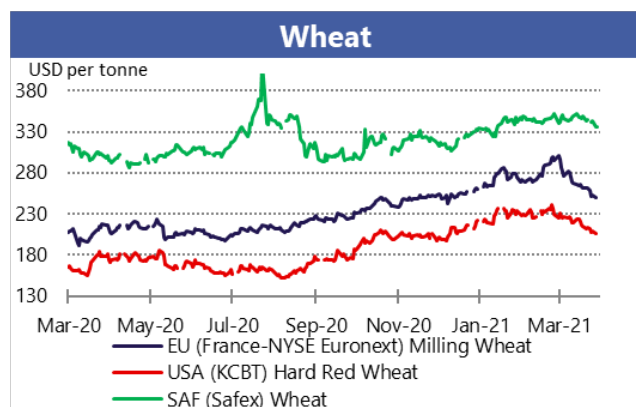
Forward curves for maize and soybeans were about unchanged m/m – still reflecting multi-year tight 2020/21 ending stocks. Wheat forward curves relaxed on the front end – as favorable US winter wheat conditions boosted 2021 crop prospects.

Investment flows

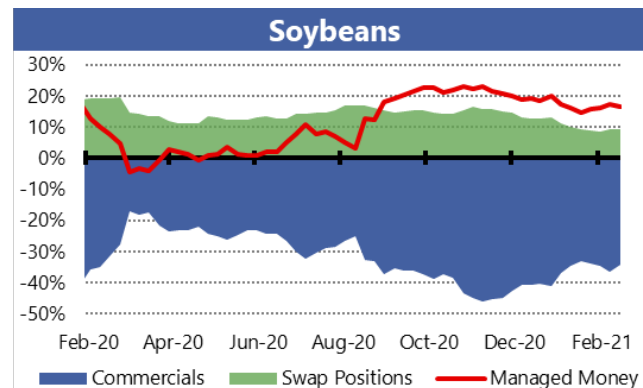
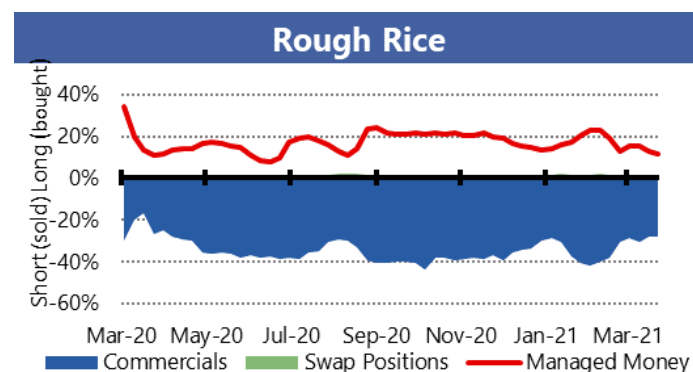
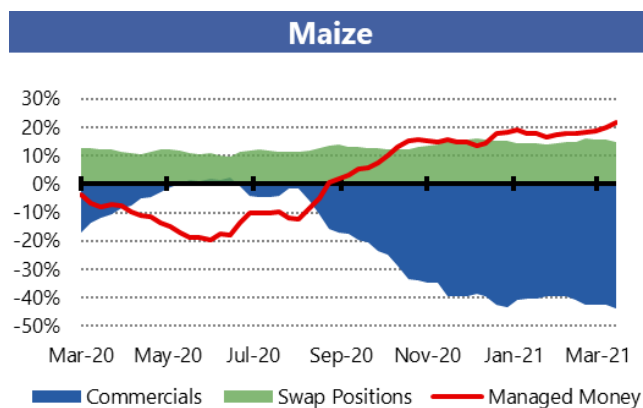
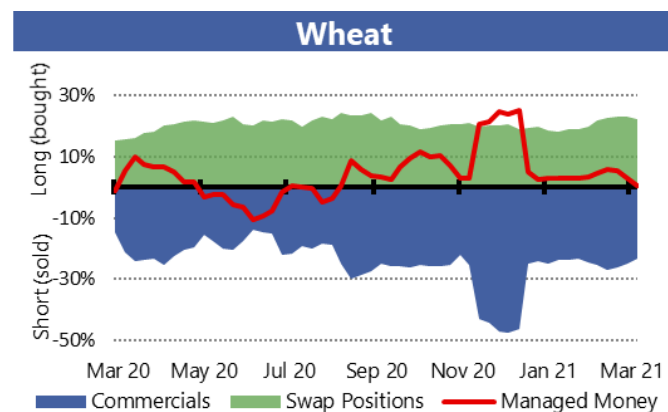
Managed money maintained its large net long position in maize, exceeding its previous 2011 record of contracts held. It also retained its large net long in soybeans while reducing its bets to a neutral position in wheat. Commercials maintained their large net short positions m/m in all three commodities, while swaps dealers held their continuous long positions.

Market indicators

Daily quotations from leading exchanges - nearby futures

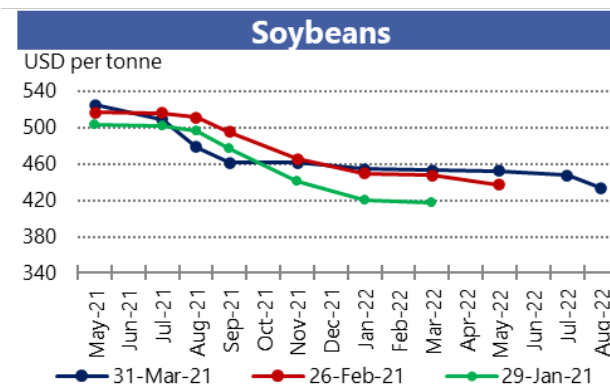
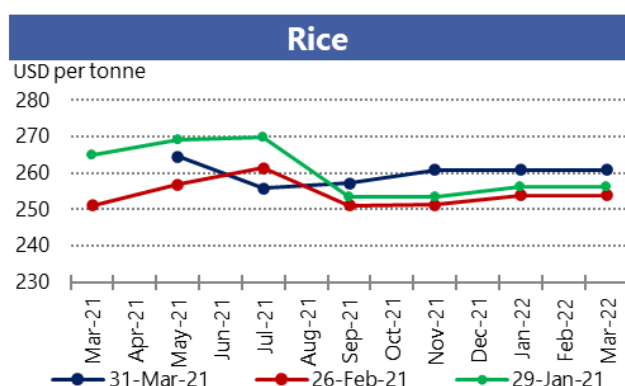
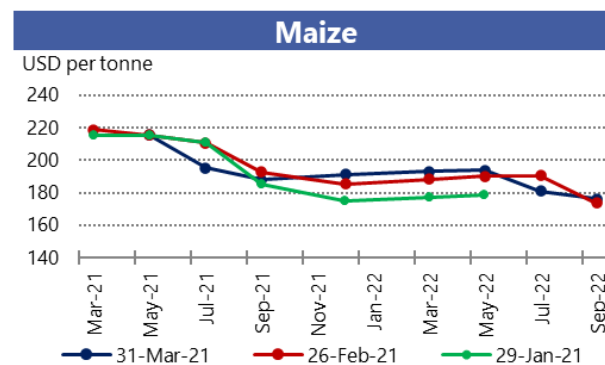
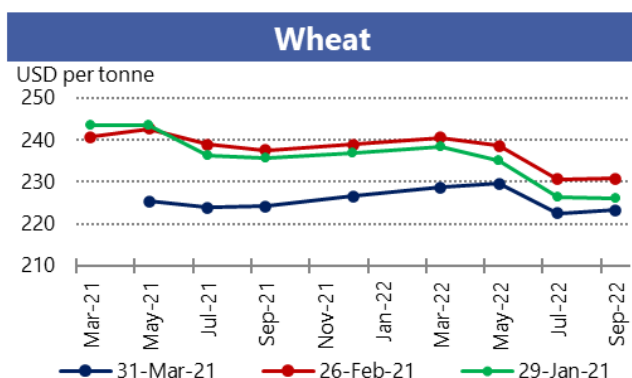


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

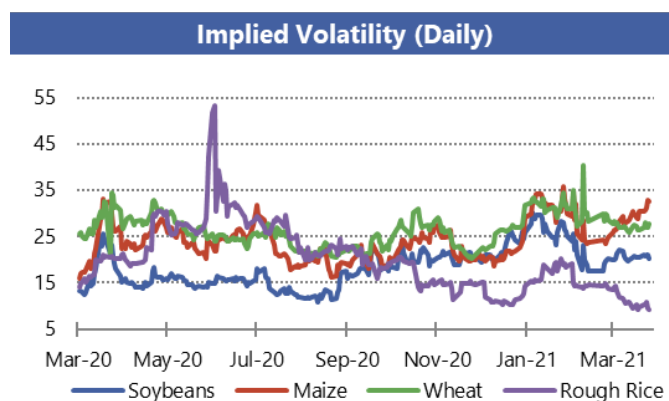
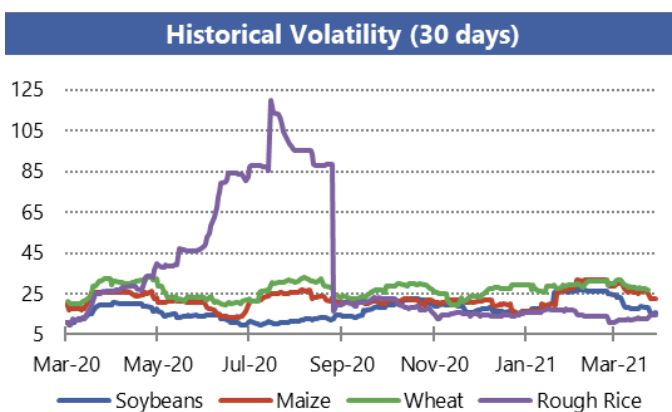


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



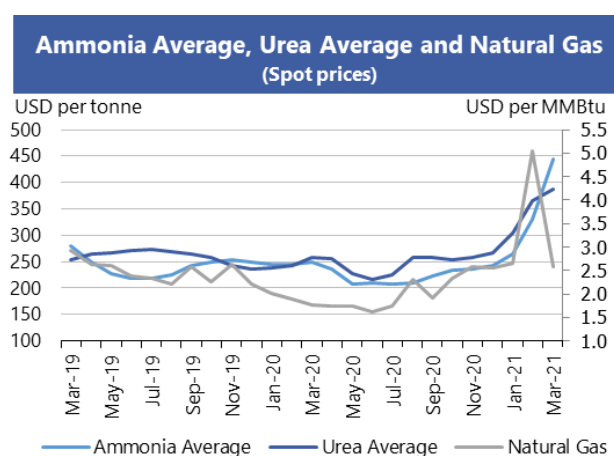
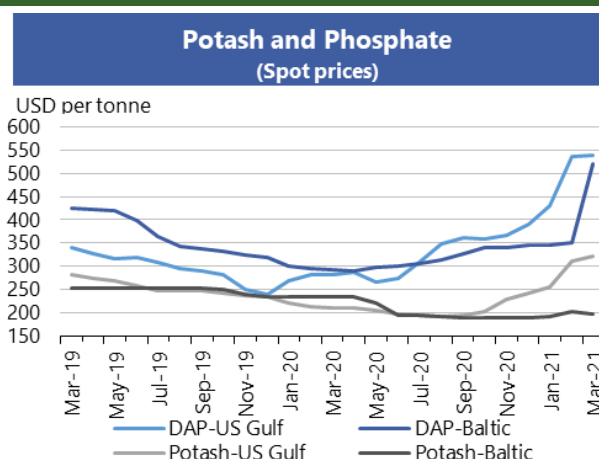
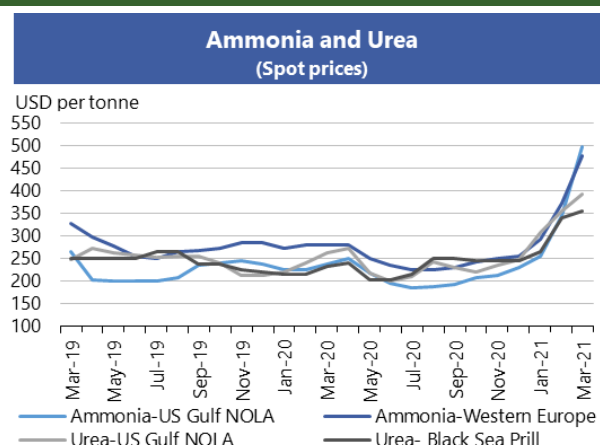
Historical and Implied Volatilities


 AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

*For more information about Forward Curves see the feature article in [No. 75 February AMIS Market Monitor 2020](#).

Fertilizer outlook



Note: Natural gas is used as major input to produce nitrogen-based fertilizers.
Own elaboration based on Bloomberg.

• **Fertilizers prices** were generally higher in March due to strong spring demand in the northern hemisphere combined with tight stocks.

• **Natural gas** prices returned to January levels after their spike in February due to the winter storm that temporarily disrupted US gulf production.

• The spike in natural gas prices pushed **ammonia** prices upwards, especially in the US, where prices more than doubled compared to last year. This surge in ammonia prices particularly increased the retail prices of UAN (combination of urea and ammonium nitrate) though many producers reported having locked in lower prices last fall.

• **Urea** prices continued their upward trend but at a slower pace due to a reduced demand increase and higher production.

• **DAP** prices increased markedly, particularly in the Baltic, due to a higher spring demand in the northern hemisphere.

• **Potash** prices were mostly unchanged.

	March average	March std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	498.8	33.0	44.6%	108.7%	499.0	186.0
Ammonia-Western Europe	477.5	26.3	28.2%	70.5%	478.0	225.0
Urea-US Gulf	394.0	16.1	10.7%	49.5%	394.0	199.5
Urea-Black Sea	354.5	19.7	4.3%	51.3%	354.5	203.0
DAP-US Gulf	538.8	6.3	0.3%	91.8%	538.8	267.0
DAP-Baltic	521.3	114.3	48.9%	77.4%	521.0	291.0
Potash-Baltic	196.5	3.0	-3.4%	-16.0%	234.5	190.0
Potash-US Gulf NOLA	321.5	3.1	3.2%	53.5%	321.5	193.0
Ammonia	444.1	28.6	34.2%	77.4%	444.1	206.5
Urea	387.1	8.0	5.9%	49.9%	387.1	217.0
Natural Gas	2.6	0.1	-49.0%	44.7%	5.0	1.6

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg



Chart and tables description * Estimated using available weekly data to date.

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

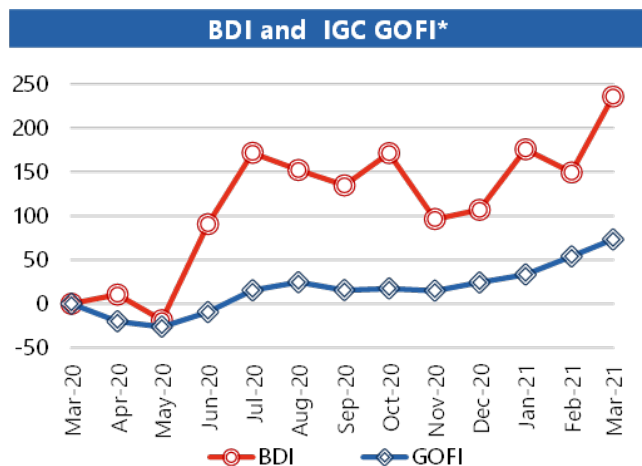
	March-21 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	2017.6	+34.5%	+235.7%
<i>sub-Indices:</i>			
Capesize	2048.3	+33.4%	n/a
Panamax	2507.3	+25.5%	+179.3%
Supramax	2003.7	+46.7%	+187.9%
Baltic Handysize Index (BHSI)**	1236.0	+50.9%	+220.4%

Sources: Baltic Exchange, IGC.

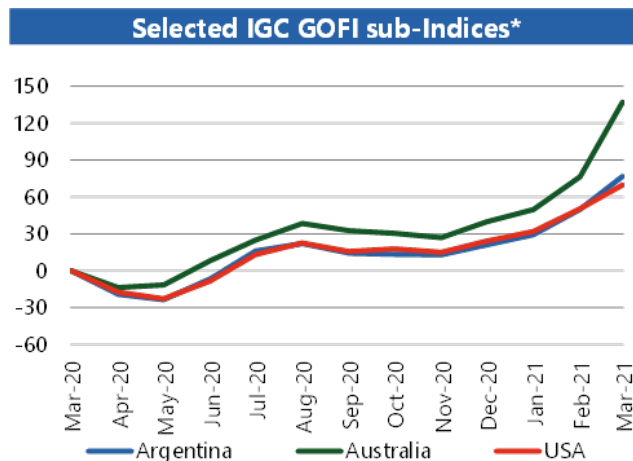
*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	March-21 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	171.2	+12.6%	+73.2%
<i>sub-Indices:</i>			
Argentina	219.7	+17.9%	+76.9%
Australia	134.7	+34.4%	+137.3%
Brazil	223.4	+11.7%	+77.9%
Black Sea	177.4	+8.8%	+66.8%
Canada	138.1	+9.2%	+65.9%
Europe	148.5	+11.6%	+66.2%
US	141.3	+12.7%	+69.8%



*percentage change based on monthly average values



- The dry bulk freight market rose in the past month, buoyed by optimism about prospects for improved global economic conditions. Despite a broad-based retreat during the past week, the **Baltic Dry Index (BDI)** averaged more than one-third higher m/m and touched an 18-month peak recently. In logistics-related developments, the recent six-day blockage of the Suez Canal was reported to have had limited impact on dry bulk freight rates, even though more than 90 bulkers were said to have been delayed by congestion.
- The **Capesize** market firmed by 33 percent on average on brisk fixing out of Australia and Brazil, with growth in transpacific timecharter rates generally outpacing those for transatlantic deliveries.
- Average **Panamax** rates firmed by 26 percent, led by coal business out of Indonesia. Firmer rates in the northern Pacific and Australia contributed to gains, despite worries about flood-induced disruption to coal shipments from the latter. Growth in the Atlantic was driven by South America

amid accelerating grains/oilseeds dispatches and stiff competition for port capacity between soyabean and sugar exporters in Brazil. In the US Gulf, a seasonal slowdown in soyabean shipments was partly countered by rising maize loadings.

- **Supramax** and **Handysize** values advanced by 47 percent and 51 percent, respectively. Sentiment was buoyed by brisk coal trading in Pacific Asia in the early half of the month, coupled with increased mineral and fertilizer enquiries in the Baltic. A softer tone was noted in parts of the Atlantic, while building tonnage in Southeast Asia pressured Handysize values recently.
- Average values of the **IGC Grains and Oilseeds Freight Index (GOFI)** climbed by 13 percent m/m, with the Index touching its highest on record (since 1 January 2013) in the latter half of March. The rise was led by Australia, where this season's sharp upturn in grains business boosted demand for bulk carriers.



Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargoes, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, OECD, Reuters, USDA, US Federal Reserve, WTO

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2021 AMIS Market Monitor Release Dates

February 4, March 4, April 8, May 6, June 3, July 8, September 2, October 7, November 4, December 2

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